12. The persons who take the risk of issuing shares are known as:
    a. Directors
    b. Promoters
    c. Shareholders
    d. Underwriters

13. Which of the following is the modern approach of fixation of issue price of shares?
    a. Fixed price method.
    b. Mark-to-Market method.
    c. Book Building method.
    d. None of the above

14. Which of the following is/ are advantage(s) of Rights issue?
    a. Control in the hands of existing shareholders.
    b. Less costly
    c. No dilution in existing value of shares.
    d. All of the above.

15. Which of the following is a feature of sweat equity shares?
    a. These are only to its directors or employees.
    b. They are issued only for acquisition of tangible assets.
    c. They are by nature of debentures.
    d. All of the above

16. Which of the following is **not** included in the provisions for issue of shares at a premium?
    a. Special resolution must be passed in General meeting of the company.
    b. Premium received must be transferred to "Securities Premium Account"
    c. Amount of share premium can be utilized for issuing fully paid bonus shares.
    d. Amount of share premium can be utilized for writing of preliminary expenses.

17. _____ means the total amount of called up share capital which is actually paid to the company by the members.
    a. Authorised Capital
    b. Issued Capital
    c. Called up Capital
    d. Paid up Capital

18. _____ means the amount that is stated in the memorandum of a company to be the maximum amount of share capital of the company.
    a. Authorised Capital
    b. Issued Capital
    c. Called up Capital
    d. Paid up Capital

Answer: 1.(a), 2.(a), 3.(d), 4.(d), 5.(a), 6.(b), 7.(a), 8.(c), 9.(a), 10.(d), 11.(a), 12.(d), 13.(c), 14.(d), 15.(a), 16.(a), 17.(d), 18.(a)

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